Note: New RBI Governor is Sanjay Malhotra. **Tedious to edit all graphics in handout to change it.**

Table of Contents

10 Mains-GS Syllabus & Economy Topics 45

10.1.1 Trend Analysis of Economy Questions in past Mains GSM1-2-3 45

10.2 Syllabus of GSM-1-2-3-4 & Economy Topics 45

10.2.1 Syllabus-GSM1: Indian Heritage and Culture, History and Geography of the World and Society 45

10.2.2 Syllabus-GSM2: Governance, Constitution, Polity, Social Justice & IR/Dipomacy 46

10.2.3 Syllabus-GSM3: Economic Development, Environment, DM, S&T, Internal Security, ... 47

10.2.4 Syllabus-GSM4: Ethics 48

10.2.5 Course objectives & minimum requirement before attending 49

10.2.6 Extra Booklist if any? 49

11 Digital Payment / Cashless Economy 50

11.1.1 (Origin) Chronology of push towards Cashless Economy for Essay Writing 51

11.1.2 Digital Payment: Charms & Challenges for each stakeholder 51

11.1.3 Govt measures to promote cashless economy 52

11.1.4 RBI measures to promote cashless economy 53

11.1.5 NPCi measures to promote cashless economy 54

11.2 Cashless Economy : Challenges of (नक़दीमुक्त अर्थतंत्र की चुनौतियाँ) 54

11.2.1 Access Points - lack of 54

11.2.2 Cyber frauds 54

11.2.3 Interoperability - lack of 54

11.2.4 MDR on UPI transaction - कभी हाँ कभी ना 55

11.2.5 Cashless Economy: Future Suggestions? (भविष्य के लिए सुझाव) 55

11.2.6 Conclusion: Less-Cash economy instead of Cashless economy 55

11.3 Cryptocurrency & BlockChain Technology 56

11.3.1 Crypto currencies are dangerous. Why? 56

11.3.2 Positive impact of crypto currency on Global and Indian Society 57

11.3.3 Negative impact of crypto currency on Global and Indian Society 58

11.3.4 Cryptocurrency – Standpoint of RBI & Government 58

11.3.5 :Crypto currency observations by EcoSurvey 2023 & 2026 59

11.3.6 Conclusion – Yes Cryptocurrency is BAD 60

11.4 Blockchain Technology (ब्लॉकचेन प्रोद्योगिकी) 60

11.4.1 Conclusion, yes, Blockchain technology is good 61

11.5 Central bank digital currency (CBDC) 61

11.5.1 = Benefits of CBDC (केंद्रीय बैंक डिजिटल मुद्रा के फायदे) 61

11.5.2 = Challenges of CBDC (चुनौतियां) 62

11.5.3 CBDC: Conclusion (निष्कर्ष) 62

11.6 Money the Root Cause of Evil? (पैसा सब बुराइओ की जड़?) 62

11.6.1 Benefits of Money? 63

11.6.2 Mock question for Mains/ESSAY 63

12 Monetary policy (मौद्रिक नीति) 64

12.1 Meaning of Monetary Policy 64

12.2 MonPol's Significance in economic growth 65

12.2.1 MonPol role in Eco Growth: Catalyst but Not Panacea (उद्दीपक हा. किंतु रामबाण इलाज नहीं) 66

12.3 MonPol's role in Human Development (मानव विकास)....67
12.3.1 MonPol to human dev: not Panacea....68
12.3.2 Monetary Policy: Conclusion / निष्कर्ष....69
12.4 Real MonPol: GDP Post Corona = Hit/Flop?....69
12.4.1 What did RBI do to boost GDP after Corona?....70
12.5 Real MonPol: Inflation Control Post corona – Hit / Flop?....71
12.5.1 Conclusion: RBI Post Corona Hit/Flop? don't judge harshly....71
12.6 Mock Questions for UPSC Mains....72

10 MAINS-GS SYLLABUS & ECONOMY TOPICS



10.1.1 Trend Analysis of Economy Questions in past Mains GSM1-2-3

6 Pillars™	Mains GSM-1-2-3 (750 Marks)											Remarks
	16	*17*	*18*	19	2020	21	22	23	24	25	26	
1_Money Banking, Finance & Insurance	25	0	0	0	15	15	0	0	0	0	20	Indirect utility when talking above poverty growth. But direct Qs are rare in Mains.
2_Budget, FC, GST, FRBM	12.5	30	25	25	15	20	*0*	*15*	*0*	*30*	*15*	Mainly around GST / deficit control, federal challanges
3_Intl_Trade, BoP	25	0	30	0	15	15	*0*	*0*	*0*	*10*	*15*	WTO, Currency Exchange, FDI, Tariff war (GSM2)
4_Sectors, GDP, Inflation,	25	60	50	65	55	60	85	110	60	90	80	Heavy weight due to Qs on Agri, GDP growth, job creation- which are asked frequently.
5_Infra	37.5	10	15	15	15	30	*20*	*10*	*35*	*20*	*15*	Usually around Energy infra & PPP-ke-problems, Smart city and urbanisation problems.
6_HRD	50	40	60	75	85	45	20	95	45	60	50	Mostly SDG / inclusive growth, women development issues, why poverty not removed.
Total	**175**	**140**	**180**	**180**	**200**	**185**	**125**	**230**	**140**	**210**	**195**	

10.2 SYLLABUS OF GSM-1-2-3-4 & ECONOMY TOPICS

✅ = mean topic will be taught in my mains-lecture.

10.2.1 Syllabus-GSM1: Indian Heritage and Culture, History and Geography of the World and Society.

History	001	Salient aspects of Art forms, Literature, Architecture (ancient to modern)

	002	History Mid-18th century - Present (significant events, personalities, issues)
	003	Freedom Struggle
	004	Post-Independence (consolidation and reorganisation within country)
	005	18th century events (e.g. Industrial Revolution, WWs, redrawn boundaries, colonisation, decolonisation)
	006	Political philosophies (e.g. communism, capitalism, socialism) and their effect on society
Social Science	007	Salient features of Indian Society
	008	Diversity of India
	009	Role of women and women's organisation
	010	Population and associated issues✅ (Pillar6)
	011	Poverty and developmental issues✅(Pillar6)
	012	Urbanisation (problems and remedies)✅(Pillar5)
	013	Globalisation (effects on Indian society)✅(Pillar6)
	014	Social Empowerment, Communalism, Regionalism, Secularism
Geography	015	Salient Features of World Physical Geography
	016	Distribution of key Natural Resources (world, S. Asia, Indian subcontinent)
	017	Factors responsible for location of Industries (primary, secondary, tertiary; India, world) REF: https://mrunal.org/tag/gsm1-geo-location
	018	Important Geophysical phenomena (earthquakes, tsunami, volcanoes, cyclones)
	019	Geographical features and location
	020	Critical geographical features, flora, fauna (changes and effects therof)

10.2.2 Syllabus-GSM2: Governance, Constitution, Polity, Social Justice & IR/Dipomacy

Polity & Governance	021	Constitution: Historical underpinnings & evolution- Features, amendments, significant provisions, basic structure
	022	Comparison of Indian constitutional scheme with other countries'
	023	Functions & responsibilities of the Union and the States; issues and challenges of federal structure
	024	Devolution of powers and finances to local levels; challenges therein
	025	Separation of Powers (between different organs, dispute redressal mechanisms, institutions)
	026	Union and State Legislatures (structure, functioning, conduct of business, powers & privileges; issues therein)
	027	Executive, Judiciary (structure, organisation, functioning)
	028	Ministries and Departments (of Union and State govts.)
	029	Pressure Groups & Formal, Informal associations (and their role in the polity)
	030	Salient features of the Representation of People's Act.
	031	Bodies: i) Appointment to various Constitutional posts (ii) Constitutional Bodies (powers, functions and responsibilities) (iii) Statutory, Regulatory and Quasi-judicial bodies ✅(only those related to economy e.g. Finance Commission in Pillar2, IBBI in Pillar1B2 etc.)
Welfare of Weaker	032	Government Policies & Interventions for development of various sectors (issues in their design, implementation)✅

Section	033	Development Processes & Development industry (role of NGOs, SHGs, groups & associations, donors, charities, institutional and other stakeholders)
	034	Welfare Schemes (centre, states; performance, mechanisms, laws, institutions and bodies constituted for protection of vulnerable sections)✅ (Ref Pillar6)
	035	Social Sector & Social Services (health, education, human resources - issues in development, management)✅(Ref Pillar6)
	036	Poverty and hunger issues✅(Ref Pillar6)
Governance	037	Important aspects of governance
	038	Transparency and accountability (institutional and other measures)
	039	E-Governance (applications, models, successes, limitations, potential)
	040	Citizens Charter✅(Only Investors Charter @Pill1C & TaxPayers Charter@Pill2B)
	041	Role of Civil Services in a democracy.
International	042	India and its Neighborhood (relations)
l	043	Bilateral, Regional, Global groupings & Agreements (involving and/or affecting India)
Relations	044	Effect of Policies & Politics of Developed and Developing countries on India (India's interests, diaspora)
	045	Important International institutions, agencies, for a (structure, mandate)

10.2.3 Syllabus-GSM3: Economic Development, Environment, DM, S&T, Internal Security,

Economy & Agriculture	046	Indian Economy (issues re: planning, mobilisation of resources, growth, development, employment)✅(Ref: Pillar2, 4C, 6)
	047	Inclusive growth and issues therein)✅(Ref: Pillar4C, 6)
	048	Government Budgeting)✅(Ref: Pillar2D, 6)
	049	Major Crops in various parts of country (cropping patterns, types of irrigation, irrigation systems
	050	Farm subsidies and MSP and issues therein (direct and indirect)✅(Pill4A)
	051	storage, transport & marketing of agro-produce related issues & constraints, ✅(Pill4A)
	052	PDS (objectives, functioning, limitations, revamping, issues of buffer stocks & food security)✅(Pill4A)
	053	e-technology to aid farmers, E-Technology missions ✅(Pill4A)
	054	Economics of animal-rearing✅ (Pillar4A)
	055	Food processing and related industries in India (scope & significance, location, upstream-downstream requirements, supply chain management)✅(Pillar4A)
	056	Land Reforms in India ✅(Pillar4A- ONLY Brief overview)
	057	Effects of Liberalisation on the economy ✅ Pillar#4B
	058	Changes in Industrial policy & their effects on industrial growth✅ Pillar#4B
	059	Infrastructure (energy, ports, roads, airports, railways)✅(Pillar#5A)
	060	Investment models✅(Pillar#5)

Science Tech	061	(i) S&T developments and everyday applications & effects (ii) Awareness in fields of IT, Space, Computers, Robotics, Nanotech, Biotech, IPR issues
	062	(i) Achievements of Indians in S&T, (ii) Indigenization of technology & development of new technology
Environment & Disasters	063	Environmental conservation, pollution and degradation
	064	Environmental Impact Assessment
	065	Disasters & Disaster Management
Internal Security	066	Linkages between Development & spread of Extremism
	067	Role of External State & Non-State actors in creating internal security challenges
	068	Internal security challenges through communication networks
	069	Role of media and social-networking sites in internal security challenges
	070	Basics of Cyber Security
	071	Money laundering & Prevention✅(in Pillar#2B)
	072	Border Areas (security challenges and management thereof)
	073	Linkages of Organised crime and Terrorism
	074	Security forces & agencies (mandate)

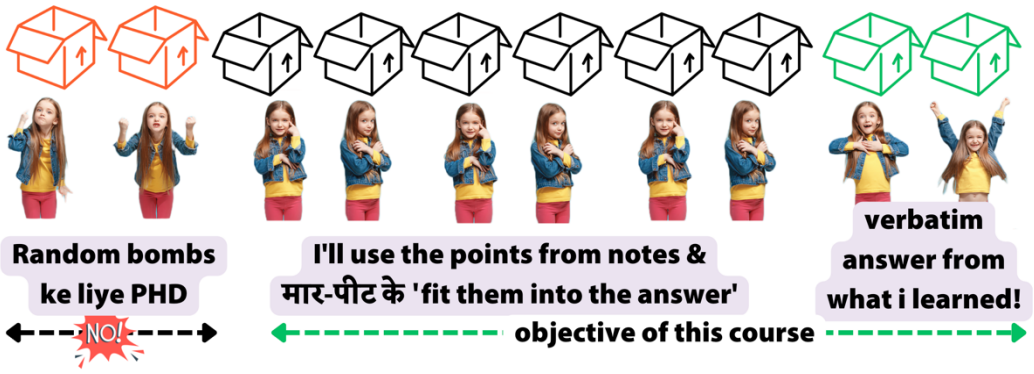
10.2.4 Syllabus-GSM4: Ethics

Theory	075	Ethics and Human Interface (essence, determinants, consequences of ethics in human actions)
	076	Dimensions of ethics
	077	Ethics in public & private relationships
	078	Human values (lessons from great leaders, reformers & administrators)
	079	Emotional Intelligence (concepts, utility & application in administration & governance)
	080	Contributions of Moral Thinkers & Philosophers from India and world
Society & Behavior	081	Role of family, society, educational institutions in inculcating values
	082	Social Influence and Persuasion
	083	Attitude (content, structure, function, influence & relation with thought & behaviour)
	084	Moral and Political Attitudes
Civil Services	085	Civil Service aptitude & foundational values (integrity, impartiality, non-partisanship, objectivity, dedication to public service, empathy, tolerance & compassion towards weaker sections
	086	Public service values & Ethics in Public Administration (status & problems)
	087	Ethical concerns and dilemmas in government & private institutions
	088	Laws, rules, regulations, conscience as sources of ethical Guidance
Governance	089	Accountability & ethical governance
	090	Strengthening of ethical & moral values in governance
	091	Ethical issues in international relations and funding
	092	Corporate Governance✅(in Pillar#1C2 – only notable legal provisions.)
	093	Probity in Governance (concept of public service)
	094	Philosophical basis of governance and probity
	095	Information (sharing & transparency in government), RTI

096	Codes of Ethics, Codes of Conduct
097	Citizens Charters, Quality of Service Delivery
098	Work Culture
099	Utilization of public funds
100	Challenges of Corruption
101	Case Studies on Above Subjects

10.2.5 Course objectives & minimum requirement before attending

Suppose 10 Qs came from Economy across GSM+Essay, then objective of this course is:



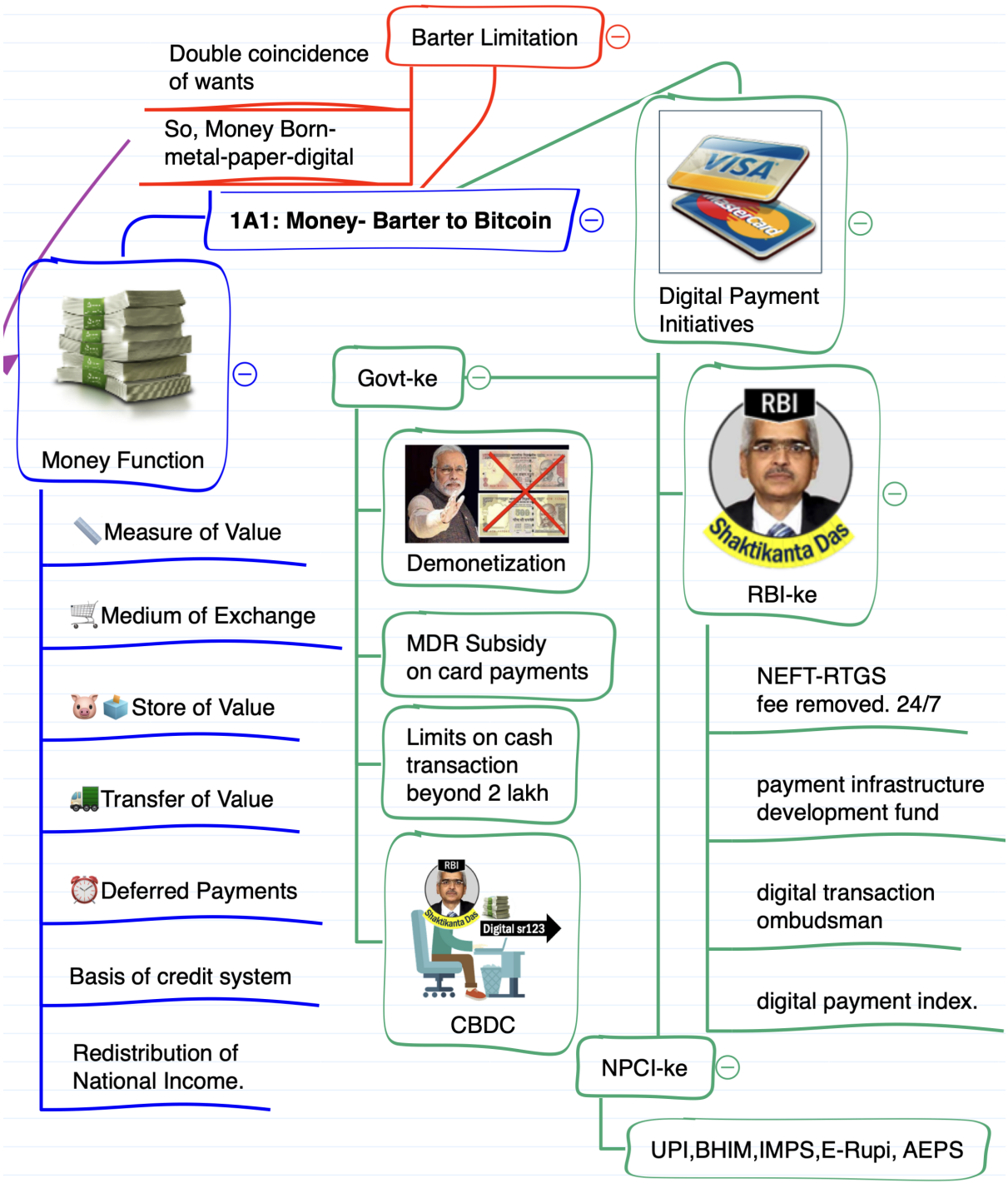
Minimum requirement before attending this course = Already explained in Lecture#1 i.e. You must have finished my prelims-economy course.

10.2.6 Extra Booklist if any?

My mains handout itself covers the economy / development issues exhaustively. I doubt you'll have time / energy left to read more. Still, if u want to read then:

- - Intros and Conclusions of each chapter of Vol1 of Economic Surveys from 2022 onwards.
- - If time Chief Editor's Preface of Yojana and Kurukshetra magazines for last 2 years
- - Dr. Raghuram Rajan's book breaking the mould (Available in both English and Hindi)
- - TheHindu Book of Editorials of last two years. (Available in both English and Hindi)

11 DIGITAL PAYMENT / CASHLESS ECONOMY



⇒ Definition: **Digital payment** refers to the use of electronic methods for conducting financial transactions without using physical currency, such as NEFT/RTGS/IMPS, UPI, Mobile Wallets, etc. (भौतिक मुद्रा का उपयोग किए बिना वित्तीय लेनदेन के लिए इलेक्ट्रॉनिक तरीकों के उपयोग को "डिजिटल भुगतान" कहेते है।)

⇒ Definition: A **cashless economy** is an economic system where the majority of transactions are conducted through digital payment methods instead of physical cash. ("नक़दी-मुक्त अर्थव्यवस्था" एक आर्थिक प्रणाली है जहां अधिकांश/ज़्यादातर लेनदेन भौतिक नकदी के बजाय डिजिटल भुगतान विधियों के से किए जाते हैं।)

⇒ The Indian economy has come a long way from the barter system and terracotta seals in ancient India to metallic coins in medieval India, to currency notes and token coins after independence, to electronic transactions in the present decade, while RBI is gearing up for issuing Digital Rupee. (भारतीय अर्थव्यवस्था प्राचीन समय में बार्टर/वस्तु-विनिमय प्रणाली से शुरू हुई। तत्पश्चायत धातु के सिक्के, काग़ज़ी मुद्रा से लेकर आज हम इलेक्ट्रॉनिक लेनदेन तक पहुँचे है और भविष्य में रिज़र्व बैंक डिजिटल स्वरूप में रुपया जारी करनेवाली है। ।)

⇒ (DATA) According to NPCi, nearly 10 billion transactions worth ₹15 trillion were carried out through Unified Payments Interface (UPI) in May 2023 alone. It shows a reduced influence of cash in the Indian economy.

11.1.1 (Origin) Chronology of push towards Cashless Economy for Essay Writing

⇒ 1881: The first attempt to reduce the influence of cash in financial transactions was made through the Negotiable Instruments Act, 1881 by Viceroy Ripon. It aimed to promote the use of cheques and to provide justice to the victims of cheque frauds/forgery/dishonour. (भारतीय अर्थतंत्र को नगदी मुक्त करने की राह में सबसे पहला कदम ब्रिटिश राज में ही उठाया गया था जब नगदी की जगह चेक के इस्तेमाल को बढ़ावा देने के लिए वायसरॉय रिपन ने नेगोशिएबल इंस्ट्रूमेंट एक्ट / परक्राम्य लिखत अधिनियम बनाया.)

⇒ 2007: Another legal push was given through the Payment and Settlement Systems Act, 2007 - to regulate the card and electronic payment mechanisms (NEFT, RTGS, IMPS, UPI, Wallets etc) in a robust manner. (कार्ड व् डिजिटल भुगतान को ज्यादा बहेरत रूप से नियंत्रित करने के लिए भुगतान और निपटान प्रणाली अधिनियम, 2007 बनाया गया)

⇒ 2016: However, the need to adopt a digital payment system was felt by the general masses mainly after the demonetisation of Rs.500 and 1000 notes - which a) necessitated the use of digital methods due to a shortage of cash / ATM Queues b) reduced the opportunity to hold black money in the form of cash. C) also, encouraged the bankers and fintech companies to focus more on the Digital payment related innovations mainly through UPI based apps. (किंतु आमलोगों में डिजिटल भुगतान को बढ़-चढ़कर इस्तेमाल करने की जागृति/जरूरत विमुद्रीकरण/नोटबंदी के बाद ही महसूस हुई.)

11.1.2 Digital Payment: Charms & Challenges for each stakeholder

Stakeholder	🤩: Charms आकर्षण	😰: Challenges चुनौतियां
 RBI	⇒ Saves cost of printing new currency (Rs.27 billion a year) – environment, (मुद्रा छपाई का खर्च) ⇒ Better efficacy of monetary policy updates (bcoz for digital economy-people need to deposit money in bank & deposit improves money multipler), NPA/fraud surveillance. (More in Pill1A2)	- MDR, Interoperability, Financial Scams. - Know your customer (KYC): Aadhar vs privacy debate (Ref: Polity, SC Judgement) डिजिटल भुगतान में वित्तीय धांधलीया रुकवाने के लिए रिजर्व बैंक यदि कहे कि हर चीज में आधार कार्ड अनिवार्य होगा तो और सुप्रीम कोर्ट/नागरिक की निजता का संघर्ष
 **Govt.**	- Better tax surveillance, checks on fake counterfeit currency terror finance (कर चोरी, जाली नॉट) - targeted delivery of agri-loans and subsidies/ Direct Benefit Transfer (DBT): Annually ₹ 1 lakh crore can	- Power, telecom infra not available everywhere. बिजली, संचार सुविधा की कमी - Government itself must become a role model first in handling tax, tender, tolls, procurements

Stakeholder	🤩: Charms आकर्षण	😰: Challenges चुनौतियां
	be saved in corruption/leakage. (प्रत्यक्ष लाभ अंतरण. भ्रष्टाचार में कटौती) - Can save farmers from moneylenders, and poor families from Ponzi schemes. (More in Pill1D)	through digital payment. सरकारी विभाग खुद नगदी में काम पसंद करते है - To encourage digital payment if subsidy, tax breaks, lotteries given for perpetual time → fiscal deficit. लॉटरी देकर लोगों को लुभाते रहे तो सरकार का वित्तीय घाटा बढ़ जाएगा - Post-Demonetization, digital transactions ↑ but then again ↓ so, punitive measures = :-(सजा देने से लोग सुधरते नहीं
 **Household परिवार**	Secure, difficult to steal, time compared to cash-wallet, convenience (सुरक्षित, बटवे के मुक़ाबले चोरी करना मुश्किल, समय, सुविधा,)	- Digital divide, Low financial literacy (सब के पास डिजिटल उपकरण और डिजिटल भुगतान की जागृति/साक्षरता नहीं है) - Cyberfrauds, Card cloning, service fees on card subscription. जालसाजी/धोखाधड़ी
 **Businessman**	⇒ Easy to maintain account books & calculate taxes etc. ⇒ Reduce scope for employee from stealing money from cash-counter. ⇒ More convenient for the customer in paying money = customer delight.	⇒ Reduced scope for tax evasion, discourage some unscrupulous businessman from going 100% cashless. ⇒ Increased vulnerability to cyber-frauds. ⇒ Not suitable for village merchants. If there is problem in electricity and internet. ⇒ Need to spend more money in internet/devices/anti-virus software etc. ⇒ MDR reducing profit margin.

11.1.3 💳 Govt measures to promote cashless economy

you don't have to memorise or understand all of these points. जितनी केपेसिटी है उनता ग्रहण करके आगे बढ़ो।

⇒ 2016: Demonetisation of ₹500 and ₹1000 notes. विमूद्रीकरण/ नोटबंधी
⇒ Govt committees- Ratan Watal, Chandrababu Naidu etc.
⇒ Education ministry, NITI Aayog, MEITY launched awareness programmes on UPI/BHIM/Digital Payments etc. जागृति कार्यक्रम
⇒ Direct Benefit Transfer (DBT) in various schemes / payments. प्रत्यक्ष लाभ अंतरण

⇒ NIC created portal to facilities Digital payments in competitive exam fees, Railway booking, RTI application fees, passport fees; online contribution to NPS/EPFO, premium payment for Fasal Bima Yojana, various Insurance pension schemes of the government etc. सरकारी कामों के लिए ऑनलाइन फ़ीस भुगतान संभव किया

⇒ Budget-2017: imposed ceilings on cash transactions, gave tax incentives to companies for using digital transactions, reduced custom duties on ATM devices. (नगदी व्यवहारों पर रोकथाम, डिजिटल भुगतान अपनाने पर करों में रियायत)

⇒ Budget-2018: promised to explore blockchain technology [of cryptocurrencies] for promoting digital economy.

⇒ Budget-2019: imposed TDS on withdrawal of ₹1 cr/> cash from a single user account.(अपने बैंक खाते से मोटी नगदी रकम उठाने पर टीडीएस कटेगा)

⇒ Budget 2022: RBI to launch Central Bank Digital Currency (CBDC)

⇒ Has started E-rupi digital voucher/coupons with help of NPCi.

⇒ Providing Merchant Discount Rate (MDR) subsidy on the low value transactions done through UPI/Rupay Debit cards. (व्यापारियों पर लगने वाले एमडीआर दरों में सब्सिडी दी)

⇒ Fastag system for online payment of toll on highways. (राजमार्ग पर टोल का ओनलाइन भुगतान)

11.1.4 RBI measures to promote cashless economy




⇒ 2019: Set up Nandan Nilekani committee and implemented its majority of its recommendations.

⇒ NEFT/RTGS available 24/7 @ ₹0 fees.

⇒ Imposed the limits on merchant discount rate (MDR) charged by the card companies.

⇒ Has Setup a Payments Infrastructure Development Fund (PIDF) to develop digital payment infrastructure in poorly served areas e.g. subsidy on PoS devices. (रिज़र्व बैंक ने एक निधि बनाई जाए. जिसके पैसों से पिछड़े इलाकों में डिजिटल भुगतान मशीन खरीद/इस्तेमाल के लिए व्यापारियों को सब्सिडी दी जाती है।)

⇒ Has setup Digital payment ombudsman. (डिजिटल भुगतान भुगतान शिकायत निवारण अधिकारी)

⇒ 2021: RBI-Digital Payments Index to capture the extent of digitisation of payments across the country. (डिजिटल भुगतान सूचकांक बनाया)

⇒ Conducting experiments on central bank digital currency (CBDC: केंद्रीय बैंक डिजिटल मुद्रा)

⇒ Made compulsory NPCi's Cheque Truncation System (CTS) & Positive Pay Mechanism to decrease cheque frauds. (चेक़ धोखाधड़ी के ख़िलाफ़ सीटीएस व 'पॉज़िटिव पे' प्रणाली)

⇒ Card Tokenisation system to decrease the card frauds.

⇒ conducting research on how to use Blockchain technology in digital payment (ब्लॉकचेन टेक्नोलॉजी पर संशोधन)

⇒ conducting experiments on Offline Retail Payments Using Cards and Mobile Devices.

⇒ RBI's Harbinger Hackathon competition for innovation in digital payment. (नवाचार के लिए स्पर्धा आयोजन)

⇒ 2023: RBI withdraws ₹2000 notes from circulation.

⇒ 2024: RBI joined **Project Nexus** of Bank for International Settlements (BIS, Basel, Switzerland) to Connect India's Unified Payments Interface (UPI) with the Fast Payments Systems (FPSs) of Malaysia, the Philippines, Singapore and Thailand.

⇒ 2026: RBI announced upto ₹25,000 compensation for cyber-fraud victims. (ref Pre-1A1 HDT)

11.1.5 💳 NPCi measures to promote cashless economy

What are these and how do they work? Ans. Explained in **Prelims** Lecture

⇒ UPI (2016), BHIM App (2016), 123PAY for basicphones (2022)

⇒ BBPS Bill payment,BharatQR Code Scan/Pay,

⇒ Aadhar Enabled Payment System, E-Rupi digital coupons for money transfer

⇒ Fastag toll collection system,

⇒ Rupay credit card charging lower MDR fees than visa/mastercard.

⇒ NPCi making agreements with Bhutan, Singapore, Nepal, and other countries to enable Indians use Rupay/UPI on foreign soil.

11.2 😨 Cashless Economy : Challenges of (नक़दीमुक्त अर्थतंत्र की चुनौतियाँ)

11.2.1 😨 Access Points - lack of

⇒ RBI Financial inclusion index score is 56 (2022) and 67 (2025). A score of 100 means complete financial inclusion. So, RBI still has miles to go to improve access to banking/loan/digital payments to villagers/remote areas. (पूर्ण वित्तीय समावेशन अभी तक नहीं हुआ है)

⇒ While govt transfers money thru DBT. But sometimes merchants in rural areas don't accept digital payments due to lack of electricity / internet, to hide black money/ avoid paying taxes / MDR. (छोटे गाँव के व्यापारी डिजिटल भुगतान स्वीकार नहीं करते क्योंकि बिजली इंटरनेट का अभाव या कर चोरी का इरादा)

11.2.2 😨 Cyber frauds

Amt-in-cr	2022	2023	2024	2025-26
Fraud in Card/Internet	₹275+	~$1500cr	₹500+cr	₹29 cr
Fraud in Loans	₹17,500	₹10,000	₹33,000	₹40,000 cr

⇒ RBI has set up a Digital Ombudsman, awareness website, while state police have established dedicated cells and helpline numbers. The government is also releasing numerous awareness ads. (शिकायत निवारण अधिकारी और जागृति अभियान चलाया जा रहा है)

⇒ RBI has developed "**Mule-hunter AI**" and "**Sachet Portal**".

⇒ There is still low level of digital awareness among the older generation, and they often fall prey to cyber scammers and digital arrest- as seen in news headlines. (पुरानी पीढ़ी के लोगों में जागृति की कमी)

11.2.3 😨 Interoperability - lack of

⇒ Interoperability is the ability of customers to transact across commercially and technically independent payment platforms. (भुगतान प्लेटफार्मों के बीच लेन-देन करने की सुविधा)

⇒ We don't have full interoperability. e.g. can't transfer AmazonPay balance to Mobikwik account.

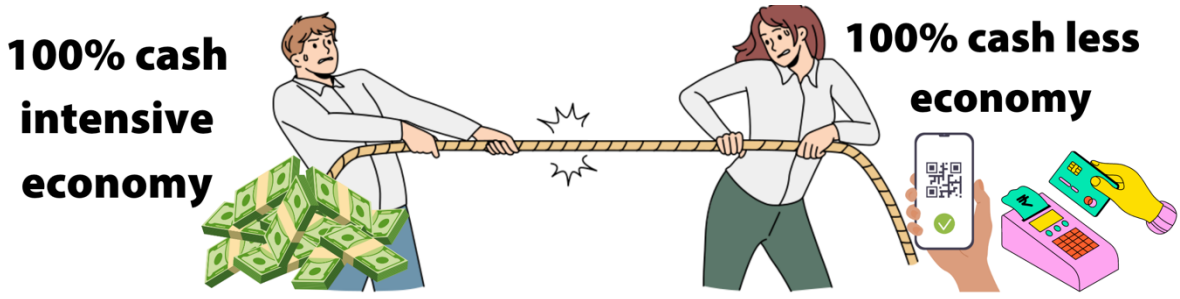
11.2.4 MDR on UPI transaction - कभी हाँ कभी ना

- Merchant Discount Rate (MDR) is a fee that merchants have to pay banks and payment processors for the use of their networks.
  Earlier the government has mandated that transactions on UPI and RuPay debit cards would not attract any MDR charges. And Govt was paying subsidy on MDR for UPI transaction upto ₹2000.
- 2026: Government amended the laws to impose MDR on these transactions as well. According to newspaper, govt is considering an MDR charge on UPI transactions above ₹2000.
- So the challenge is how to keep the system financially sustainable without putting too much burden on the customers.

11.2.5 Cashless Economy: Future Suggestions? (भविष्य के लिए सुझाव)

Whatever challenges written above= rephrase them to make suggestions.

⇒ Give companies and merchants more tax incentives for using digital payments. (कर प्रोत्साहन /करों में छूट दी जाए)
⇒ Further reduction in taxes on the devices required for digital payments. (डिजिटल भुगतान की मशीनों पर करों में कटौती)
⇒ Setup Computer Emergency Response Team for finance (FIN- CERT: आपातकालीन प्रतिक्रिया टीम).
⇒ Need to create and promote more companies like NPCi to foster innovation. (नवाचार के लिए और कंपनियां बनायी जाए)
⇒ When UPI is used for small value transactions then bankers suffer a loss in server cost database management etc. they want to charge MDR fees instead of temporary subsidies from Govt. Need to find a middle path. (एमडीआर सब्सिडी से बेंकारो के घाटे पूरे नहीं हो रहे, वे फ़ीस लेना चाहते है। इसपर कोई बीच का रास्ता निकाला जाएं)
⇒ Improve connectivity to internet and electricity in remote areas (इंटरनेट और बिजली की उपलब्धता)
⇒ Disaster preparedness / nuclear attack etc. (आपदा के सामने पूर्व तैयारी)



11.2.6 Conclusion: Less-Cash economy instead of Cashless economy

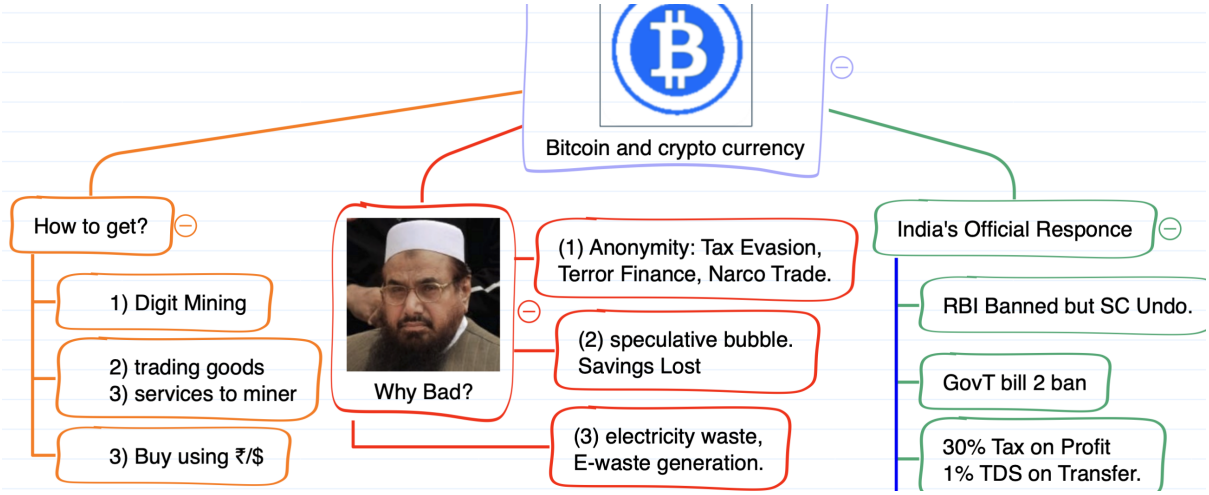
⇒ If 100% cash is replaced with digital currency, we will become extremely vulnerable during a nuclear attack, cyber hacking, or electricity disruption.
⇒ Therefore, Swiss citizens are planning a referendum to require their government/central bank to ensure that a minimum of x% of currency must be printed in physical form.
⇒ There for taking cue from the Switzerland, We should encourage a less cash-intensive economy, but we should not opt for a completely 100% cashless economy. (यदि हम 100% नगदी रहित अर्थतंत्र बना देंगे तो परमाणु आक्रमण, साइबर आक्रमण के दौरान हमारी भेदता/कमजोरी बहुत बढ़ जाएगी। स्विजरलैंड में जनमत संग्रह होने वाला

है कि किसी भी हालात/स्थिति में उनकी केंद्रीय बैंक ने कम से कम कुछ प्रतिशत पैसा तो नगदी स्वरूप में ही जारी करना होगा। इससे सबक लेते हुए, भारत ने भी संपूर्णता नगदी रहित अर्थतंत्र नहीं बनाना चाहिए। बल्कि केवल नगदी का अत्यधिक उपयोग कम करवाना चाहिए।)

OR

Digital payment is not a panacea, nor is cash all bad. For a developing country like India, "Less cash" economy better than "Cashless" economy. (डिजिटल भुगतान को राम-बाण / सर्वरोगहर औषधि मानना गलत. नगदी रुपया हमेशा ही खराब चीज है, ऐसा सोचना भी गलत। भारत जैसे विकासशील देश के लिए 'नगदी-रहित' बनना उपयुक्त नहीं। किंतु, नगदी का प्रयोग 'कम' करने की जरूरत है.)

11.3 💠 Cryptocurrency & BlockChain Technology



⇒ **[Definition] Cryptocurrency:** is a digital / virtual currency created & stored using blockchain technology. E.g Bitcoin, Dogecoin, Litecoin etc.क्रिप्टोमुद्रा एक डिजिटल मुद्रा है जिसे ब्लॉकचेन तकनीक का उपयोग करके बनाया और संग्रहीत किया जाता है।

⇒ **[Origin]** Anarchist groups lost faith in **FIAT MONEY** because USA's Subprime Crisis (2007) eroded the purchasing power of US Dollar. They also dislike **Banks & Card Companies** because of transaction charges on e-banking, card payments, MDR, interoperability issues. (अशासनवादी समूहों को सरकार द्वारा जारी की मुद्रा नापसंद। इन अशासनवादी समूहों को बैंक और कार्ड कंपनियों से भी नफरत है)

11.3.1 💠 Crypto currencies are dangerous. Why?

3 ways to obtain Cryptocurrency	😡👎Negative Points / Challenges (क्रिप्टो मुद्रा हासिल करने के तीन तरीके, और वे खराब क्यों है?)
1) Mining of the blockchains using powerful computers *शक्तिशाली कंप्यूटर द्वारा डिजिटल-खनन*	- Graphics cards demand & price hike: 2x-4x times due to bitcoin mania. E-waste generation. (ग्राफीकस कार्ड अप्रत्याशित रूप से महंगे हो गए हैं) - Thermal Electricity wastage worth 20 megaton CO_2 per year (बिजली की बर्बादी) - Iran: People deploying large number of computers for Bitcoin mining → Electricity outage in normal houses → Diesel generator → ↑ Pollution → 2021-Iran banned bitcoins. (डीजल जनरेटर से वायु प्रदूषण)
2) Selling goods and services to a miner /	⇒ Bitcoin wallets have "public address" (like an email) & private key (like a password). Unlike Paytm wallet, possible to create a Bitcoin

owner of cryptocurrency *जिसके पास क्रिप्टो मुद्रा है उसे कोई वस्तु या सेवा बेचो*	wallet without any phone number or email id. So, difficult to trace by law enforcement agencies. Misuse in Narcotics, Illegal trade, Terror finance.** ⇒ Selling goods/services in exchange of Bitcoins= Govt deprived of GST, Custom duty, Income tax. सरकार को कर नहीं मिलेगा, क्योंकि आय/बिक्री छिपाना आसान ⇒ If Scam: can't get justice under Consumer Protection Act. (ग्राहक सुरक्षा कानून में न्याय नहीं मिलेगा। क्योंकि खरीद बिक्री वैधानिक निविदा से नहीं हुई।)
3) Exchanging legal tender to buy cryptocurrency. वैधानिक मुद्रा की मदद से क्रिप्टो मुद्रा को खरीदो	⇒ For traditional Rupee to Dollar exchange, Forex dealers have to register with RBI under FEMA Act. (Foreign Exchange Management Act, Pillar#3) ⇒ But, if ₹ or $ exchanged with Bitcoin = terror finance, sending black money to tax havens. (More in Pillar2: आतंकी वित्तपोषण, काले धन को विदेश भेजना) ⇒ Bitcoin exchange rate: speculation, volatility, Government deprived of Capital Gains Tax (CGT: Pillar#2. पूंजीगत अभिलाभ कर को छिपाना,) ⇒ Ponzy investment frauds- so, Government came up with 'Banning of Unregulated Deposit Schemes Act 2019'. (*More in Pillar1D: Financial Inclusion. "इसकी टोपी उसके सर पे पहेनाने वाला धोखा" कर बदमाश भाग जाते है)* ⇒ 2022-May: RBI officials raised apprehensions that bitcoin & other cryptocurrencies could lead to the dollarization in Indian economy. (= increased influence & usage of dollar-based transactions. Because bitcoins buying / selling done mostly in dollar using international websites.) What does it mean? Why this is bad? Ans. (REF: Pillar#3A: Currency Exchange). (इन क्रिप्टो मुद्राओं द्के चलते भारतीय अर्थतंत्र में "डॉलर का प्रभुत्व" बढ़ने का डर। ये पूरा मामला क्या है, इससे क्या चुनौतियाँ होंगी- उसे समझने के लिए पिलर#3 देखिए।)

11.3.2 Positive impact of crypto currency on Global and Indian Society

भारतीय और वैश्विक समाज पर क्रिप्टोमुद्रा कि सकारात्मक असर

Global Society	Indian
New Jobs in crypto exchange related start-ups / computer coding / Apps development etc. कंप्यूटर कोडिंग से जुड़े कुछ नए रोज़गार का निर्माण	same
some (NOT ALL) investors made windfall profits during initial phase of bitcoin until 2021. कुछ निवेशकों ने अप्रत्याशित मुनाफ़ा कमाया है शुरुआती समय में।	same
Venezuela and Marshall island issued sovereign digital currencies. It would have made the transactions more convenient for their society compared to paper currency (कुछ देशों ने संप्रभु क्रिप्टो-मुद्रा जारी की जिससे उनके नागरिकों को सुविधा हुई होगी)	N/A
Rise of crypto currency has made the central banks to explore CBDC and Blockchain technology more seriously. Ultimately, it should reduce the cost of transaction for	same.

Global Society	Indian
the people (अन्य देश में भी स्वयं की क्रिप्टोमुद्रा बनाने के लिए प्रयोग कर रहे हैं जिससे नवाचार होगा लेन देन की लागत कम होगी)	

11.3.3 Negative impact of crypto currency on Global and Indian Society

Global Society	Indian Society
Ponzi scam, investment scam, cyber frauds (धोखा धड़ी में पैसा गंवा दिये) 2024: Globally over $1.20 billion lost in such scams- says theHindu	Gullible Indian investor lost money.
⇒ Since private cryptocurrencies are usually not backed by any assets such as gold or government securities, their prices tend to remain very volatile. (भावों में अस्थिरता, क्योकि इसके पीछे कोई स्वर्ण या भौतिकि संपत्ति नहीं) ⇒ Many investors lost money during the "crypto-winter" since 2022. Between 2021-Nov to 2026-Jun: Bitcoin fell from ~$70,000 to $62,000 & similar situation in many other cryptocurrencies. (निवेशकों का काफ़ी पैसा डूबा है)	same
⇒ 2024-25: Bitcoin price crossed $1 lakh dollars so some investors may be profited from it.	Same.
Bitcoin mining se electricity outage and air pollution through diesel generator in Iran. It has reduced the ease of living for the people (बिजली की क़िल्लत, वायु प्रदूषण)	no big headlines / police action around this. So difficult to quantify the exact impact.
use of crypto currency for narco-trafficking, terror-finance, tax evasion and other illegal activities has reduced the tranquillity in the global society. (करचोरी, आतंकवाद और नशीले पदार्थो के व्यापार में उपयोग)	same. e.g .Car bomb planted outside Ambani home, ransom demanded in Bitcoins.
Bitcoin mining increase the demand and prices of graphics card → price inflation for graphic designer, students & ordinary people. (आम उपभोगक्ता के लिए कंप्यूटर ग्राफिक्स कार्ड महंगे हुए)	same
Bitcoin mining se e-waste generation, ultimately harming health & well being of the society. (इलेक्ट्रॉनिक कचरे में बढ़ोतरी से प्रदूषण/ स्वास्थ्य समस्याए)	same

11.3.4 Cryptocurrency – Standpoint of RBI & Government

RBI का रुख़/रवैया	Government का रुख़/रवैया
⇒ **Since 2013:** RBI warning Indians not to get involved in cryptocurrency due to frauds, tax evasion and terror finance. (रिज़र्व बैंक चेतावनी देता है इसमें निवेश न करें क्योंकि धांधली, करचोरी, आतंक वित्तपोषण का खतरा) ⇒ **2018:** RBI directed all banks to stop relations with any Cryptocurrency company. (रिज़र्व बैंक ने बेंको को आदेश दिया की क्रिप्टोमुद्रा कंपनियों के साथ लेनदेन/व्यवहार बंद करें)	⇒ **2018**: Budget says Crypto-currencies are not legal tenders. We'll eliminate use of these crypo-currencies in financing illegitimate activities or as part of the payment systems. (बजट में वित्त मंत्री ने कहा कि अवैध/गैर कानूनी वित्तीय गतिविधियों में क्रिप्टो मुद्रा का उपयोग बंद करवाएंगे) ⇒ **2019:** Ministry of Finance: draft bill called the 'Banning of Cryptocurrency &

⇒ Then some cryptocurrency exchange companies like CoinDCX etc went to SC. ⇒ SC ruled in their favour Article: 19(1)(g): All citizens have the right to practise any profession including those companies dealing with cryptocurrency. (व्यवसाय का हक/मौलिक अधिकार सभी को है) ⇒ RBI ban did not pass the **test of proportionality** (अनुपातिकता की परीक्षा पास नहीं कर पाया) ⇒ Proportionality test is a legal method used by courts in matters where State's decision (for public safety/welfare e.g. Aadhar card or Bitcoin ban) interferes with fundamental rights of people (right to privacy, right to business) (सरकार जो जनहित में निर्णय ले रही है, वह मूलभूत अधिकारों का किस अनुपात में हनन कर रहा है- अगर ज़रूरत से ज़्यादा हनन हो रहा हो तो कोर्ट रद्द करवाएगी।) ⇒ What next? 🐯RBI may release a calibrated regulation on cryptocurrency e.g. PAN card required, can't invest more than ₹"x" lakh per month etc. topic is still developing. ⚾📻⚾🎓✋	Regulation of Official Digital Currency Bill, 2019' (क्रिप्टोक्यूरेंसी पर प्रतिबंध और आधिकारिक डिजिटल मुद्रा का विनियमन विधेयक). ⇒ It aims to ban the use of all types of cryptocurrencies issued by private operators. Non-bailable offense, jail upto 10 years. (निजी निर्माताओं द्वारा बनाई गई डिजिटल मुद्रा रखना गैर-जमानती अपराध बनाने का क़ानूनी प्रस्ताव है), ⇒ Budget 2022 imposed 1% TDS and 30% Capital gains tax on crypto currency and other virtual Digital assets (e.g. non-fungible tokens). ⇒ 2022: India is collaborating with the OECD group for Crypto-Asset Reporting Framework (CARF). This will help identifying the Indians holding black money in cryptocurrencies abroad. (ओईसीडी से अंतरराष्ट्रीय सहयोग ताकि विदेश में काला धन क्रिप्टोमुद्रा के स्वरूप में छुपाने वाले भारतीयों को पकड़ा जा सके) ⇒ 2023: Prevention of Money Laundering Act made applicable on the crypto currency related companies. Just like bankers, these crypto companies will have to report the suspicious /large value transactions to the government. (धनशोधन के ख़िलाफ़ क़ानून में अब से क्रिप्टोमुद्रा से जुड़ी कम्पनियोने संदेहजनक बड़े लेनदेन की जानकारी सरकार को देनी होगी)

11.3.5 🔗🧠:Crypto currency observations by 📙EcoSurvey 2023 & 2026

⇒ Cryptocurrencies are primarily held by a few big players/"whales". So they can manipulate the prices by manipulating the supply.
⇒ Problems related to electricity-consumption, tax-evasion, abnormal fluctuation in prices, investors-fraud, no-intrinsic value et cetera.
⇒ then economic survey, 2023 give various examples of different-different legal provisions in EU, Japan, Switzerland, Nigeria etc. But from exam point of view not much benefit chasing it.
⇒ 2025: Stablecoins market rose to 300+ billion$. Stable-coins' prices are linked to traditional physical and financial assets. It can cause negative spillover to economy.
⇒ 2025: Pakistan helping foreign crypto-miners with dedicated allocation of electricity. Trump backed org signed deal with Pakistan for promoting stablecoins.
⇒ Sufficient to know that coordinated international effort required to regulate the sector. OECD and G20 group are working in this direction. More about these intl.orgs in Pillar3B.
⇒ And ideally, we need strict rules over crypto-market, just like we've strict rules over sharemarket

(चंद बडे खिलाड़ियों ने ज्यादातर क्रिप्टोमुद्रा अपने कब्जे में की है. और वही खिलाडी इसकी सप्लाई/आपूर्ति को नियंत्रित करके, उसके दामों में छेड़छाड़ करते रहते हैं. क्रिप्टो मुद्रा में बिजली की खपत, कर-चोरी, आम-निवेशक से धांधली होती है. विभिन्न देशों में इसपर अलग-अलग के नियम/कानून बनाए गए हैं, लेकिन वैश्विक रूप से नियमों में एकरूपता और सहकार की जरूरत है- आर्थिक सर्वेक्षण ने पाया.)

11.3.6 💠 Conclusion – Yes Cryptocurrency is BAD

Overall, cryptocurrency has caused more negative impact than positive impact on both global and Indian society. The need of the hour is for greater regulation at national and international levels to address the challenges associated with cryptocurrencies - namely financial frauds, erosion of savings, money laundering, trafficking, and terror finance.

(कुल मिलाकर, क्रिप्टोक्यूरेंसी ने वैश्विक और भारतीय समाज दोनों पर सकारात्मक प्रभाव से अधिक नकारात्मक प्रभाव डाला है। राष्ट्रीय और अंतर्राष्ट्रीय स्तरों पर अधिक से अधिक विनियमन की ज़रूरत है ताकि क्रिप्टोकरेंसी से जुड़ी चुनौतियों को संबोधित किया जा सके जैसे वित्तीय धोखाधड़ी, बचत का क्षरण, धनशोधन तस्करी और आतंकी वित्तपोषण आदि।)

11.4 🆑 BLOCKCHAIN TECHNOLOGY (ब्लॉकचेन प्रोद्योगिकी)



⇒ [Definition] Blockchain: A secured decentralized database/ distributed ledger technology (DLT) that maintains a continuously growing list of records / transactions. Old entries can't be deleted, new entries will be visible to all. Mainly used for running cryptocurrency network. But it can also store any type of data. (ब्लॉकचेन एक डेटाबेस है जो रिकॉर्ड की निरंतर बढ़ती सूची को विकेन्द्रीकृत रूप से बनाए रखता है। सामान्य रूप से क्रिप्टोमुद्रा के लेन देन का हिसाब किताब इस टेक्नोलॉजी से रखा जाता है। हालाँकि किसी भी प्रकार के डेटा को स्टोर/संगृहीत करने में ये टेक्नोलॉजी उपयोगी है।)

⇒ It ↓ reduces the cost of storing the data online in a secured manner. Some of the Indian banks already using it for storing records of financial transactions/client database. (ऑनलाइन डेटा के सुरक्षित संग्रह की लागतखर्च करता है।)

⇒ RBI's Institute for Development and Research in Banking Technology (IDRBT)- studying how to use blockchain technology for promoting digital economy. (ब्लॉकचेन टेक्नोलॉजी की मदद से डिजिटल भुगतान को कैसे प्रोत्साहन दें इस पर रिजर्व बैंक की संस्था संशोधन कर रही है)

⇒ 🤩 Pradhan Mantri Rashtriya Bal Puraskar awards (Children bravery awards)- Its digital certificates given to through blockchain technology for the first time in India. (सरकार कुछ बहादुरी पुरस्कार डिजिटल स्वरूप में जारी कर रही है, इस टेक्नोलॉजी की मदद से)

⇒ We can use blockchain for storing variety of government data such as birth and death certificate, school marksheets, land- ownership, vehicle ownership, prisoners / police / judicial / traffic database, loan/subsidy disbursal, electricity distribution etc. Cross integration/crosschecking of such a database using Aadhaar number can help in identifying criminals, tax evaders, fraudsters, and bogus beneficiaries in the government schemes. (जीवन मृत्यु प्रमाण पत्र, विधालयो के गुणपत्र, ज़मीन/वाहन मालिकी/स्वामित्व के दस्तावेज़, पुलिस अदालतों के डेटाबेस, कर्ज/ऋण/सब्सिडी, बिजली वितरण आदि अनेक प्रकार के सरकारी डेटा हम ब्लॉकचेन से संगृहीत कर सकते हैं और आधार कार्ड से जोड़कर इसकी जाँच-पड़ताल से योजना लाभार्थिओ का फर्जीवाड़ा/धाँधली/अपराध की छानबीन/रोकथाम कर सकते हैं)

⇒ 🤩 2021: Ministry of electronics and IT (MEITY) published draft framework to use blockchain technology in database management etc. (इलेक्ट्रॉनिक्स मंत्रालय ने इस पर एक मसौदा भी तैयार किया है)

⇒ 😨 Challenge? Lack of skilled man-power, Cybersecurity/Hacking. (हालाँकि भारत में ब्लॉकचैन उपयोग के लिए प्रशिक्षित मानवबल की कमी, हेकिंग का ख़तरा)

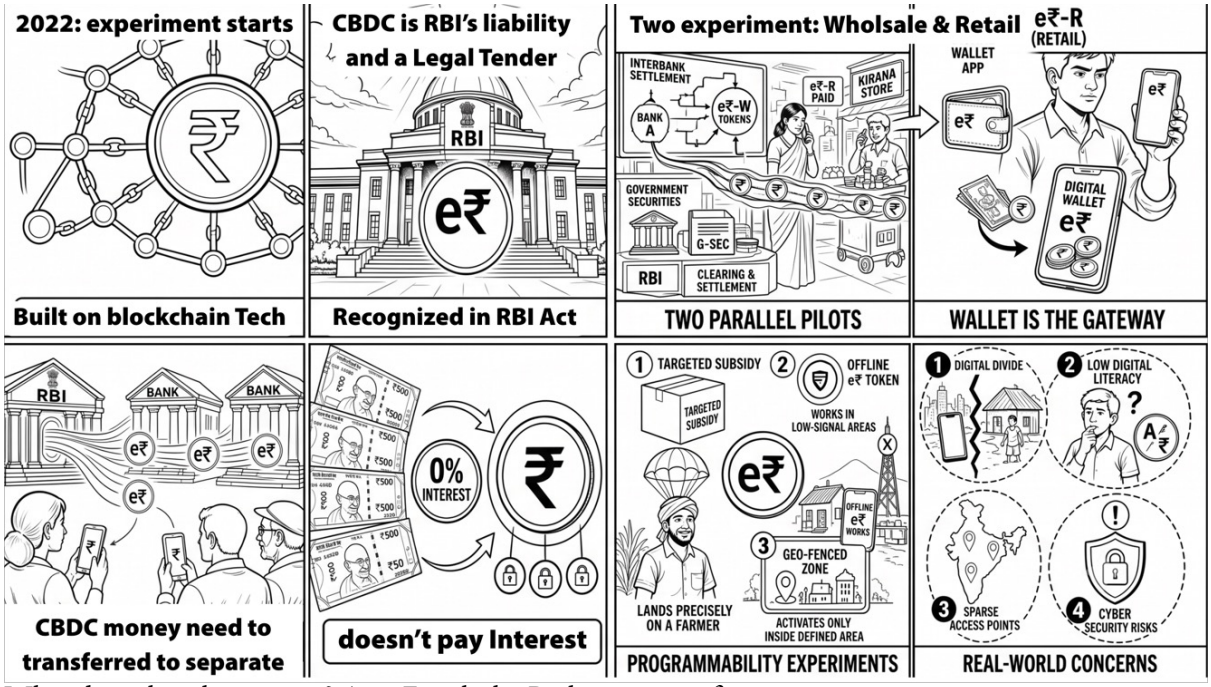
11.4.1 ✍️🆒 Conclusion, yes, Blockchain technology is good

Thus, Blockchain technology is a promising new technology to store database in a secure, decentralized & cost effective method. While there are still some challenges to overcome, but, blockchain technology is well worth exploring as a potential solution to many of the problems related to financial transactions, tax evasion and public administration (इस प्रकार, ब्लॉकचेन एक सुरक्षित, विकेंद्रीकृत और किफ़ायती तरीक़े से डेटाबेस को संग्रहीत करने की एक आशाजनक नई तकनीक है। हालाकि इसमें भी कुछ चुनौतियां हैं, लेकिन, ब्लॉकचेन वित्तीय लेनदेन, कर चोरी और लोक-प्रशासन से संबंधित कई समस्याओं के हल में मदद कर सकती है)

11.5 💠🐅 Central Bank Digital Currency (CBDC)

⇒ (Origin/Definition) Central Bank Digital Currency (CBDC) is created when the central bank of a country issues the currency in digital format directly instead of physical cash/coin format. (जब किसी देश की केंद्रीय बैंक अपनी मुद्रा काग़ज़ी स्वरूप में न छापते हुए सीधा ही डिजिटल रूप में जारी करे तो उसे केंद्रीय बैंक डिजिटल मुद्रा कहा जाता है)

⇒ 2022: Budget announced to start CBDC experiment in India. China, Britain, Japan, Singapore, Sweden etc also conducting such experiments. (विभिन्न देशों ने इसका प्रयोग शुरू किए है।)



What does this chart mean? Ans. Finish the Prelims course first.

11.5.1 🐯🔗🧠=👌🥰 Benefits of CBDC (केंद्रीय बैंक डिजिटल मुद्रा के फायदे)

CBDC/ Sovereign Digital Fiat Money / Digital Base Money will provide following benefit

1. ⏬ Cost **printing and transporting** physical currency. (नोट छापने की लागत और परिवहन खर्च में कमी)
2. ⏬ Scope for **counterfeiting**. (जाली नोट बनाना मुश्किल)

3. ↑ **Traceability,** ⏬ **Anonymity:** (ढूँढना आसान, गुमनाम/अज्ञात रहेना मुश्किल)
    a. Whether money is reaching the intended beneficiary or not? (लाभार्थी को योजना का पैसा मिला कि नहीं)
    b. From where did the businessman accumulate this money, did he pay an appropriate amount of tax or not? Else auto-alert to the Income tax department for tax evasion. (करचोरी पर निगरानी आसान)
4. Can be evolved into a **Programmable Digital Currency** to control the allocation of new money for development of various sectors. (अलग-अलग क्षेत्रों के विकास के लिए पैसे को "प्रोग्राम/लक्षित" करके भेजना)
    a. E.g. if RBI issues Programmable-Digital-Rupee → SBI → Student Loan → its Interest rate will be automatically "X%", (यदि डिजिटल मुद्रा विद्यार्थी को शिक्षा लोन के लिए दी जा रही है तो अपनेआप कम ब्याज दर लगे)
    b. but if SBI manager tries to circulate this money as loan-4-buying-luxury-iphone then A) either computer system will reject it or B) increase interest rate to Y%
    c. [How will that work? Ans. ✋🎓 #Boycott-PHD #थोड़ा-पढ़ो-आगे-बढ़ो.]
5. ⏬🤮 Spread of virus/bacteria through physical currency notes. [Mains Logical Structure: this type of low level benefits= they should be written at the bottom part of the answer.] (काग़ज़ी नोटों द्वारा रोग/विषाणु प्रसार में कमी)

11.5.2 🐯🔗🧠= ✋😘Challenges of CBDC (चुनौतियां)

⇒ 😨Digital Divide, Financial Literacy, Access Points: (डिजिटल उपकरणों की उपलब्धता की खाई, वित्तीय साक्षरता का भाव, डिजिटल भुगतान इस्तेमाल करने के पहुंच बिंदुओं की कमी)
⇒ Not everyone has electronic gadgets or internet connectivity, (सबके पास इंटरनेट नहि)
⇒ Not everyone knows how to operate bank account digitally, (सबको इस्तेमाल करना नहि आता)
⇒ Not every village shopkeeper accepts payments in the digital form. (दुकानदार नक़दी माँगते है)
⇒ 😨Cyber Terrorism/Nuclear Attack/Natural Disaster. If electricity stops → economy will stop functioning. (साइबर आतंकवाद / परमाणु हमला / प्राकृतिक आपदा: विद्युत उपकरण बंद तो अर्थव्यवस्था बंद)
⇒ 😨Maintaining the blockchain → 24/7 use of server/electricity → e-waste, pollution. (प्रदूषण)

11.5.3 🐯🔗🧠✍🏻 CBDC: Conclusion (निष्कर्ष)

⇒ Appreciable step by RBI to reduce cost of printing, scope for fake notes & tax evasion.
⇒ But, Considering above charms & challenges, CBDC can 'supplement' physical currency BUT cannot substitute/replace it completely, for India. (डिजिटल मुद्रा, कागजी मुद्रा की 'पूरक' तो हो सकती है, लेकिन 'सम्पूर्ण विकल्प/एवज' नही)
⇒ +also add Switzerland referendum angle if you want. (Ref: Cashless Economy section)

11.6 😈 Money the Root Cause of Evil? (पैसा सब बुराइओ की जड़?)

⇒ (Definition) Money is the unit measure of value in financial transactions. It is used as a medium of exchange during buying and selling of goods and services. (वित्तीय लेनदेनों में मूल्य नापन के एकम/यूनिट को पैसा कहेते है। वस्तु व सेवाओं की ख़रीद बिक्री के दौरान इसे विनिमय के माध्यम के रूप में इस्तेमाल किया जाता है)
⇒ **(Origin)** In ancient times, people used to trade with each other using barter system. but its limitations, such as double coincidence of wanters, gave birth to money. (उद्भव: प्राचीन काल में, लोग वस्तु विनिमय प्रणाली का उपयोग करके एक दूसरे के साथ व्यापार करते थे। लेकिन इसकी मर्यादाओने पैसों को जन्म दिया)

⇒ 😨Instances where money appears to be the evil: Profiteering, Corruption, Ransom, Kidnapping, Poaching etc. (समाज में बढ़ रही मुनाफ़ाख़ोरी, भ्रष्टाचार, फिरौती, अपहरण, जंगली जानवरों का शिकार आदि से तो प्रतीत होता है कि पैसा ही सब बुराइयों की जड़ है)

⇒ ✋Counter-arguments: jealousy, lust, hatred can make a person commit evil deeds, even without monetary greed. E.g. Hollywood rich film producer **Harvey Weinstein** whose sexual assaults resulted in #metoo movement. (लेकिन असल में तो ईर्ष्या, वासना, घृणा भी व्यक्ति से अपराध करवाती है भले उसको पैसों की ज़रूरत न हो। मी-टू आंदोलन जिसके यौन-अपराधों के चलते शुरू हुआ उस हॉलीवुड निर्माता हार्वी वैनस्टेन को तो पैसों की ज़रूरत नहीं थी।)

⇒ Even when money was not invented, still evil existed. E.g. (1) Barter system: Kings & nobles exploited peasants. (2) Slavery & Human Sacrifices in Aztec civilization (1300 to 1521 around Mexico) , Even though they did not have 'concept of paper-money'. (जब पैसों का जन्म नहीं हुआ था तब भी राजा जमींदार लोगों का शोषण करते थे। मैक्सिको में एज़टेक सभ्यता पैसों का प्रयोग नहीं करती थी किन्तु नरबली और ग़ुलाम-प्रथा थी)

⇒ East India Company enslaved India NOT FOR Money but GREED of resources. (ईस्ट इंडिया कंपनी ने भारत को ग़ुलाम पैसों के लिए नहीं भारत के संसाधनों की लालच में बनाया था।)

11.6.1 😄Benefits of Money?

⇒ Barter System has the limitation of double coincidence of wants. Money overcomes it. (वस्तु विनिमय प्रणाली की सबसे बड़ी मर्यादा है की इच्छाओं का दोहरा संयोग यदि न हो, तो व्यापार संभव नहीं. पैसे ने इस मर्यादा को ख़त्म किया)

⇒ Promotes division of labour and entrepreneurship (through loans, banking Finance, IPO system). SC/ST/Women entrepreneurs progress in life e.g. 2021: Falguni Nayar became India's richest self-made female billionaire after IPO of her online cosmetics/fashion site Nykaa. (श्रम विभाजन उद्यमिता को प्रोत्साहन देता है. लोन/कर्ज/बैंकिंग/शेयर-आईपीओ प्रणाली के मूल में यह पैसा कमज़ोर वर्ग को तरक़्क़ी का मौक़ा देता है.)

⇒ Money: Savings → Investors → Startup eco-system. Innovation, competition, better services. (बचत निवेश स्टार्टअप नवाचार स्पर्धा सबके मूल में है पैसा)

✍**Conclusion:** Thus, money is not the root of all evil. Greed is probably the root of most evil. As Gandhi-ji rightly stated, "Earth provides enough to satisfy every man's need, but not every man's greed." (अत: पैसा बुराइयों की जड़ नहीं. व्यक्ति की लालसा शायद सभी बुराइयों की जड़ है. जैसा कि गांधी जी ने ठीक ही कहा था, "पृथ्वी हर आदमी की ज़रूरत को पूरा करने के लिए पर्याप्त सामग्री उपलब्ध कराती है, लेकिन हर आदमी के लालच को पूरा करने के लिए नहीं।")

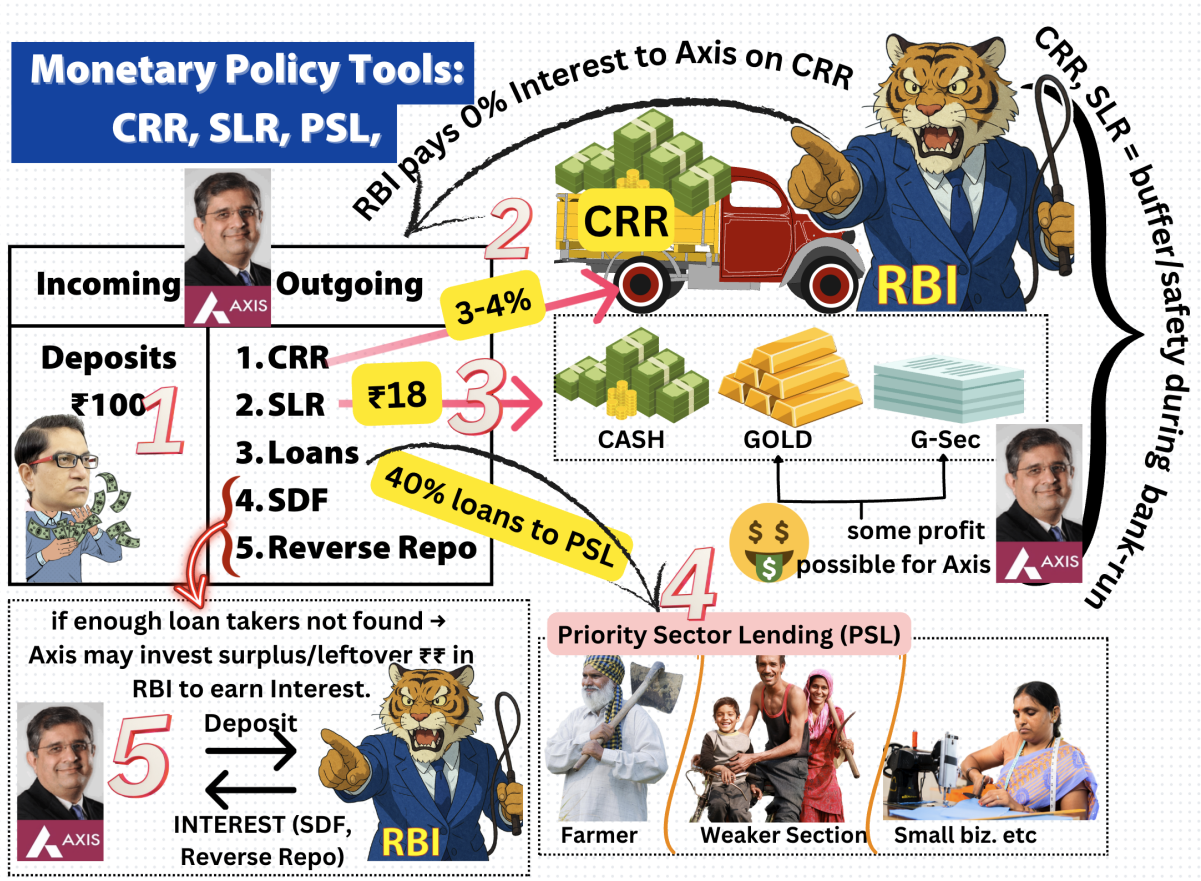
11.6.2 ✍🏻🎺🐤1✋ Mock question for Mains/ESSAY

1) **(PYQ-GSM1-2021)** What is Cryptocurrency? How does it affect global society? Has it been affecting Indian society also? क्रिप्टोकरेंसी क्या है ? वैश्विक समाज को यह कैसे प्रभावित करती है ? क्या यह भारतीय समाज को भी प्रभावित कर रही है ?
2) **(GSM3)** Examine critically, the charms and challenges of Central Bank Digital Currency (CBDC) initiatives for Indian monetary system. भारतीय मौद्रिक प्रणाली के लिए, 'केंद्रीय बैंक डिजिटल मुद्रा' की पहल के आकर्षण और चुनौतियों की समीक्षा कीजिए
3) **(GSM3)** "While regulatory clearance to cryptocurrencies can open Pandora's box, the underlying blockchain technology holds panacea for various areas of governance and economy". Explain in context of India. क्रिप्टो मुद्रा को अनुमति देने से विनाश की परिस्थिति का निर्माण, किन्तु अंर्तनिहित ब्लॉकचेन टेक्नोलॉजी प्रशासन और अर्थतंत्र के लिए रामबाण इलाज बन सकती है.

4) **(GSM2)** "E-rupi increases the efficacy of Direct-Benefit Transfer by making the entitlement more targeted and leak-proof." Substantiate/Elucidate. (ई-रूपी पात्रता को अधिक लक्षित और रिसाव-मुक्त बनाकर प्रत्यक्ष-लाभ अंतरण की प्रभावकारिता को बढ़ाता है. उदाहरण द्वारा साबित कीजिए)
5) **(GSM3)** Write Short Notes on 1) Non-Fungible Tokens 2) Fastag (Hint: Prelims Handout)
6) **PYQ-2026**: What do you mean by Digital Rupee? In this context, explain the working and progress of India's Central Bank Digital Currency (CBDC)

12 MONETARY POLICY (मौद्रिक नीति)

12.1 MEANING OF MONETARY POLICY



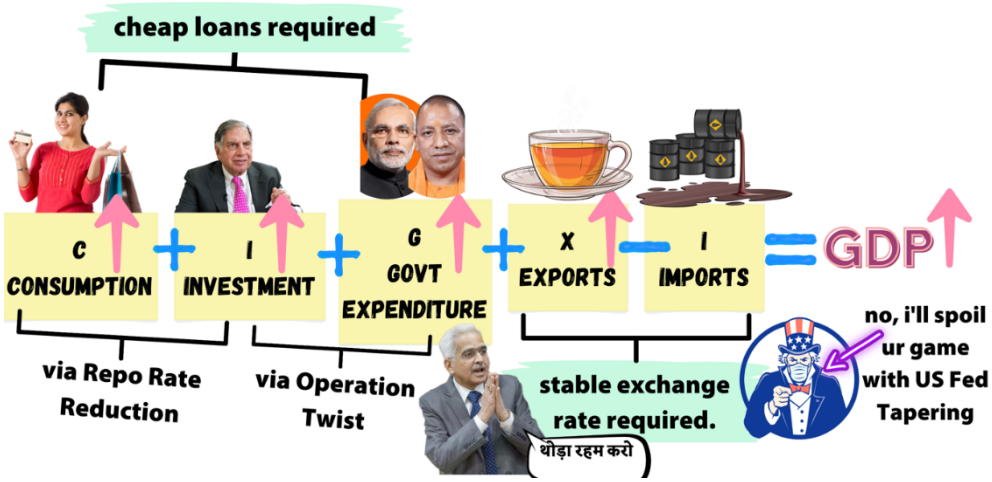
- [**Definition**] Monetary Policy is a macroeconomic policy (समष्टि आर्थिक नीति), designed by Central bank of a country, to manage money supply & interest rates. It helps shaping variables such as inflation, consumption, savings, investment, & capital formation (मुद्राआपूर्ति व ब्याजदरो को नियंत्रित कर मुद्रास्फीति/महंगाई, मांग/खपत, बचत, निवेश, पूंजी निर्माण को आकार देना- केंद्रीय बैंक द्वारा बनाई गई इस प्रकार की नीती को मौद्रिक नीति कहते हैं).
- [**Significance**] Monetary policy plays an important role in price stability [inflation control], economic growth, job creation and social justice in any economy. (महंगाई-नियंत्रण, आर्थिक वृद्धि, रोजगार सृजन, सामाजिक न्याय के लिए महत्वपूर्ण साधन है ये मौद्रिक नीती)
- **Philip Curve**: Inflation ↑ = unemployment ↓ (and vice versa). So, stable & moderate inflation is good for the economy. (मंहगाई बढ़ेगी तो बेरोजगारी घटेगी. मंहगाई कम होगी तो बेरोजगारी बढ़ेगी. स्थिर व मध्यमस्तर महंगाई अर्थतंत्र के लिए अच्छी)

- So, RBI tries to keep inflation with 2-6% Consumer Price Index (CPI: All India) using its bi-monthly monetary policy made by its 6- member statutory Monetary Policy Committee. (छ:- सदस्यवाली वैधानिक समिति द्वारा द्वि-मासिक मौद्रिक नीति निर्माण करके रिजर्व बैंक महंगाई दर को उपभोक्ता मूल्य सूचकांक के हिसाब से २-६% में नियंत्रित करने की कोशिश करता है)

12.2 MonPol's Significance in economic growth

- (Definition) Economic growth refers to the sustained increase in the production of goods and services within an economy over time.. Economic growth is usually measured by the year-on-year growth in Gross Domestic Product (GDP). (आर्थिक वृद्धि यानी कि सतत रूप से वस्तु और सेवा के उत्पादन में बढ़ोतरी होना. सामान्यत: इसे जीडीपी में होनेवाली वार्षिक वृद्धि के रूप में नापा जाता है।)

Formula of GDP = C + I + G + X – M (Ref Pillar#4D for more)



let's examine impact of a good monetary policy on each of this components:

GDP Component	How monetary policy can help?
(C) consumption and (I) investment (उपभोग और निवेश को बढ़ाने के लिए सस्ते लोन ज़रूरी)	- Cheap and affordable loans help improve the consumption and investment, thereby increasing the GDP growth. - RBI controls the interest rates through variety of tools such as CRR, SLR, Repo, Open Market Operations.
(G) Government expenditure (सरकार को सस्ता लोन भी GDP बढ़ाने में मदद करता)	- RBI can make loans affordable for the government through Operation Twist- a special type of open market operation. - If government spends such borrowed money on capital/infrastructure it can have a multiplier effect on GDP growth and job creation
(X-M) Export Minus Import (स्थिर व अनुकूल विनिमय दर भी निर्यात बढ़ाने में मदद करता)	- A stable & favorable currency exchange rate is required for boosting India's exports. Currency exchange ultimately depends on supply/demand of the local currency versus foreign currency. And RBI's monetary policy has direct impact on the supply of local currency. - Indian producers and exporters also require affordable loans

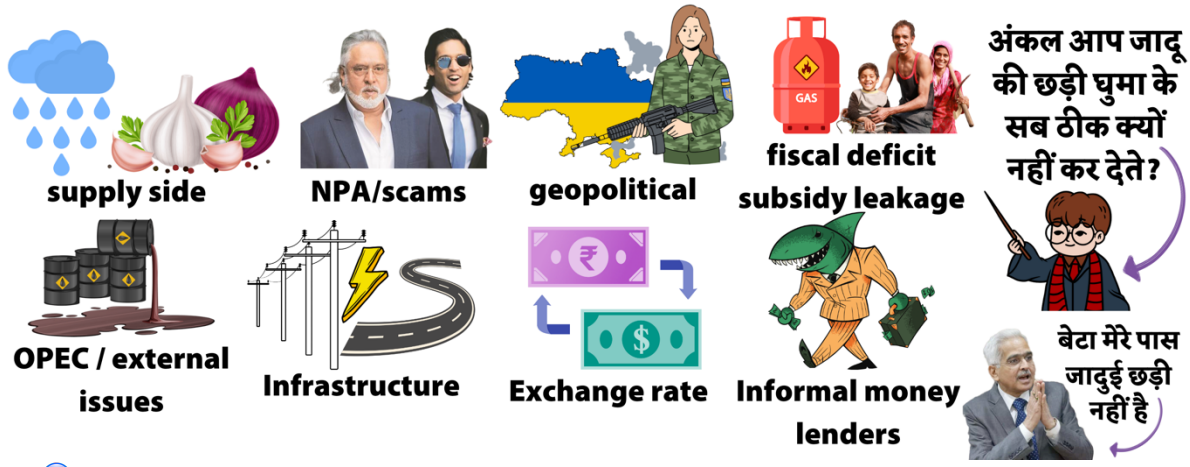
GDP Component	How monetary policy can help?
	to purchase raw material. RBI has a role to play here.

12.2.1 MonPol role in Eco Growth: Catalyst but Not Panacea (उद्दीपक हा. किंतु रामबाण इलाज नहीं)

मौद्रिक नीति आर्थिक वृद्धि के लिए उद्दीपक तो है लेकिन रामबाण इलाज नहीं

Basically, you copy paste the limitations of the monetary policy learned in the prelims course.

- Supply Side Issues: El-Nino/Poor monsoon hurting crop production → food inflation; Wars & Geopolitical issues ↑ global crude oil & raw material prices, protectionism by China-US denting our exports. RBI can't control them. (कम बारिश + मध्यपूर्व की भूराजनीतिक तनाव= भारत मे कच्चे माल की आपूर्ति को असर करते है, चीन-अमरीका का संरक्षणवाद भारतीय निर्यातमे बाधा डालता है। इन्हे नियंत्रण मे रखना आरबीआई के लिए मुश्किल।) Refer Pill3&4A
- Poor management in Public Sector Banks (PSB), scams in the private sector banks, large level of Non-Performing Assets (NPA) also stymie the impact of monetary policy. (सार्वजनिक क्षेत्र के बैंकों में बेअसर प्रबंधन, निजी क्षेत्र के बैंकों में घोटाले, अनर्जक परिसंपत्तिया) More in Pill1B2



- While cheap loans can boost consumption, investment and growth but because of poor-monsoon-fear and oil-price fear, RBI (during Raghuram Rajan and Urjit Patel's governorships) was usually apprehensive of inflation and more inclined to keep repo rate high. Then RBI was get criticized for not facilitating cheap loans & economic growth because of its 'Hawkish policy'. (महंगाई-नियंत्रण के चक्कर मे कभी कभी खुद रिजर्व के मंहगे रिपो-ब्याजदारों ने अर्थतन्त्र को आगे बढ़ने से रोका है।)
- Government Side Issues: Fiscal deficit, Subsidy leakage, Populist Loan-waivers etc. (राजकोषीय खाध, सबसिडी का रिसाव, लोकलुभावन के लिए किसानो की ऋण-माफी) Pill#2D → FRBM Act
- Structural Issues in Economy: lack of Ease of Doing Biz, electricity-road infrastructure = production /supply affecting inflation trends. (व्यापारमे सुगमता की कमी, बिजली-सड़क की अवसंरचना आदि बुनियादी मसलो के चलते उत्पादन/आपूर्ति की कमी। रिजर्व बैंक जादू की छड़ी चलाकर इसे दुरुस्त नहीं कर सकता) Pill4B&5
- Presence of Informal moneylenders in rural areas who circulate black money at exorbitant interest rates. Poor penetration of banking sector, lack of financial inclusion, cash-intensive rural economy etc. (ब्याजखोर/साहूकार जो कालाधन ऊंचे ब्याज पर घुमाते है, सभी गरीबो के वित्तीय समोवेशन की कमी, नगदी मुद्रा पर ज्यादा आधीन है हमारी ग्रामीण अर्थव्यवस्था। रिजर्व बैंक अपनी रेपो दर कम भी करें, इधर कुछ फर्क नहीं पड़ता) Pill1D

- 😨 currency exchange rate depends not only on the money supply of Indian rupee but also on the foreign currency. Therefore, actions taken by US Federal reserve such as quantitative easing and fed tapering can also have negative impact on the exchange rate stability and incoming FDI - thereby harming our export competitiveness and GDP growth. (अमेरिकी केंद्रीय बैंक द्वारा की जाने वाली फेड टेपरिंग आदि क्रियाओं से भी भारत में विनिमय दर अस्थिरता पैदा होती है जिससे हमारी निर्यात, और आनेवाले विदेशी निवेश को नुकसान होता है.)
- RBI's external benchmark formula links bankers' loan interest to benchmarks such as repo. But this formula is applicable to selected categories/types of loans only. So even if RBI decreased its repo rate, it may not reflect on the ground for all types of loans. e.g. infra-loans to highway developers. (सभी प्रकार के बैंक-लोन की व्याज-फार्मूला को रेपो के साथ लिंक/जोड़ा नहीं गया, इसलिए ज़रूरी नहीं की सस्ते रिपो से सभी लोन सस्ते हो जाएँगे।)
- 😨 Sometimes, cheap loans themselves can cause asset bubbles and inflation, when wealthy individuals corner the loans and start buying houses for investment purposes, driving up real estate inflation. It is called **Cantillon effect**. (सस्ते लोन लेकर अमीर व्यक्ति एकाधिक मकान खरीद लेते हैं निवेश के वास्ते किंतु इसके चलते मकानों के दामों में भारी महंगाई बढ़ जाती है.)
- During a recessionary phase, cheap money policy can cause **liquidity trap** instead of fixing problems. (REF Prelims HDT for more) (मंदी के दौरान सस्ती/विस्तारवादी-मौद्रिकनीति तरलता-जाल की समस्या पैदा कर सकती है)
- 2026-Feb: Iran war and blockade of Strait of Hormuz- its impact on LPG, Diesel, Petrol, energy prices in India. (होर्मुज़ जलडमरूमध्य की नाकेबंदी - भारत में एलपीजी, डीज़ल, पेट्रोल और ऊर्जा की कीमतों पर असर।)
- 2025-26: FPI exit from India resulting in weakening of rupee, causing the problem of imported inflation. (एफपीआई पलायन से रुपया कमजोर होना और आयातित सामान में महंगाई / मुद्रास्फीति बढ़ना)



12.3 MONPOL'S ROLE IN HUMAN DEVELOPMENT (मानव विकास)

- (Definition) Human development is the multidimensional process of improving an individual's access to health, education and standard of living. (किसी व्यक्ति की स्वास्थ्य शिक्षा और जीवन यापन के स्तर को बेहतर करने की बहु आयामी प्रक्रिया को मानव विकास कहेते है।)

- (Data) India ranked 130 in the Human Development Index (HDI) of United Nations Development Programme (UNDP) published in 2025.

A good monetary policy can help improving the HDI in following manner:

- Uncontrolled inflation harms the poor families the most, and it takes away nutritional food / vegetables from their plate/diet, resulting into malnutrition. Therefore, RBI controlling inflation within 2-6% CPI Range is required for nutrition and human development. (कुपोषण से लड़ने के लिए महँगाई नियंत्रण ज़रूरी)
- CRR-SLR to boost depositors' confidence/ prevent bank run. This helps poor families to save their money in banks. Financial savings / financial inclusion is an important tool for poverty upliftment. (गरीबों का विश्वास स्थापित करके उसमें बचत की आदत जगाना।)
- PSL / priority sector lending norms: easier access to loans for SC/ST/Women/Weaker section, small marginal farmers, Micro small and medium Enterprises, education loans, home loans etc- all play an important role in HDI improvement. (प्राथमिक क्षेत्र के ऋण मानकों द्वारा पिछड़े वर्ग का उत्थान।)
- MSME contribute over 40% exports, and many of them are owned by SC/ST/OBC/Women. Cheap and affordable loans to MSME has direct bearing to HDI. (सूक्ष्म छोटे और लघु उद्योगों का उत्थान)
- RBI transfers the priority sector shortfall money to various funds for rural and urban development- which in turn helps in human development.

Post-Corona Atma Nirbhar Bharat initiative – RBI did following:

- RBI opened special loan windows to help the micro and small industries, unorganised sectors and healthcare industry. (असंगठित क्षेत्र और स्वास्थ्य के लिए नई ऋण खिड़कियाँ)
- RBI tweaked loan to value ratio. This helped lower middle-class and poor people in gold loans.

12.3.1 🐂💰 MonPol to human dev: not Panacea

मौद्रिक नीति मानव विकास के लिए उद्दीपक है किंतु रामबाण इलाज नहीं

⇒ Monetary policy is a catalyst but not a panacea for human development. Because

⇒ Cheap loan alone cannot improve entrepreneurship, If the person does not have good health, education and skill. (व्यक्ति के पास अच्छा स्वास्थ्य, शिक्षा और कौशल ये भी होना चाहिए केवल सस्ते लोन से कोई बड़ा बिज़नेसमेन/उद्यमी/सेठ नहीं बन सकता।)

⇒ PSL quota alone cannot improve farmer's life, if there are variety of challenges at APCM / supply chain management preventing him from getting right value for his farm produce. (किसान को मंडी में अच्छे दाम नहीं मिले तो सस्ते लोन से क्या होगा.)

⇒ PSL quota women loans alone can't improve gender development, without women safety, labour force participation and political empowerment. (महिला सुरक्षा, श्रम बल में उनकी भागीदारी और राजनीतिक सशक्तिकरण भी ज़रूरी)

⇒ Atrocities against the minorities/SC/ST deter them from pursuing their lifegoals. (पिछले वर्ग के ख़िलाफ़ हो रहे अत्याचार उन्हें जीवन में आगे बढ़ने से रोकते हैं।)

⇒ Scams in PMC and other cooperative banks where poor people lost money and RBI couldn't do much, due to dual-supervision model on coop banks. (बैंकों में हो रहे कांड जिसमें गरीबों का पैसा डूबा।)

⇒ if there are not adequate infrastructure facilities and ease of doing biz. Etc. (बुनियादी अवसंरचना और व्यापार में सुगमता।)

RBI does not have direct control over most of the aforementioned issues. Much depends on the actions of the government. (इन सब में सरकार की भूमिका पे भी बहुत कुछ निर्भर। रिज़र्व बैंक अकेला कुछ नहीं कर सकता।)

12.3.2 Monetary Policy: Conclusion / निष्कर्ष

⇒ Thus, Monetary policy plays an important role in price stability, economic growth, job creation and social justice in any economy. But, its efficacy is low for Indian economy, because of the aforementioned issues. (उक्त कारणो के वर्तमानमे मौद्रिक नीति मंहगाई नियंत्रण, आर्थिक वृद्धि, रोजगार सृजन, सामाजिक न्याय में महत्वपूर्ण भूमिका नही अदा कर पाती)

⇒ However, both RBI and Government of India have been making attempts to address it through various reforms for fixing the bad loan/NPA problem in banking sector, developing the infrastructure & promoting the ease of doing business, financial inclusion and less-cash economy. (अनर्जक परिसंपतिया, बुनियादी अवसंरचना, व्यापार में सुगमता, वित्तीय समोवेशन, कम-नगदी वाली अर्थव्यवस्था के लिए रिजर्व बेंक व सरकार ने कदम उठाए है।)

⇒ In the upcoming years, these reforms will help improving the impact of monetary policy in India's economic growth and human development and help us achieve 'developed nation' status by 2047. (इन सुधार/कदमो के चलते भविष्य मे आर्थिक- वृद्धि, मानव विकास मे मौद्रिक नीति का प्रभावी और सकारात्मक असर अवश्य बढ़ेगा) OR

⇒ In the upcoming days, these reforms will help improving the impact of Monetary policy in India's economic growth and human development. (इन सुधार/कदमो के चलते भविष्य मे आर्थिक- वृद्धि, मानव विकास मे मौद्रिक नीति का प्रभावी और सकारात्मक असर अवश्य बढ़ेगा)

12.4 Real MonPol: GDP Post Corona = Hit/Flop?

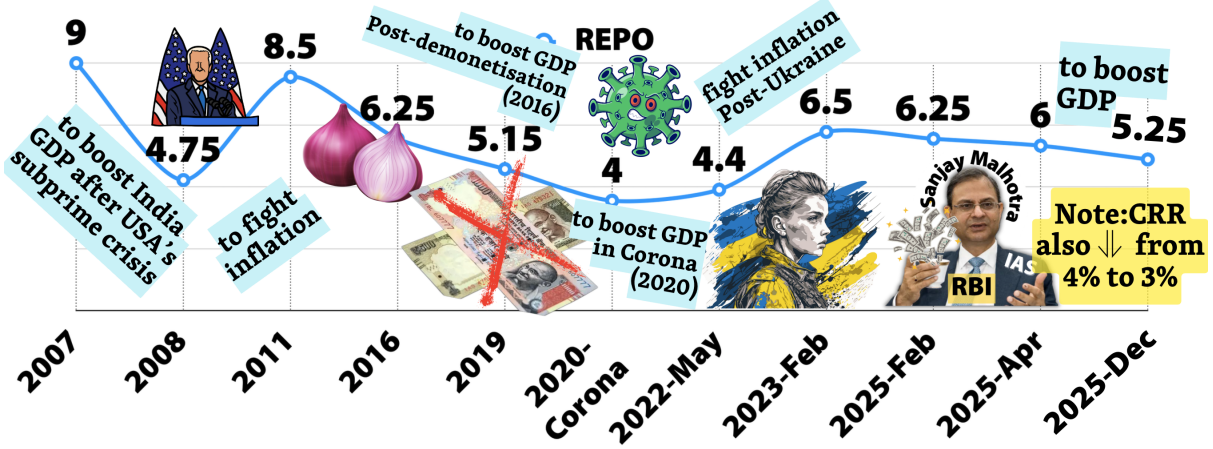
(Note: Definition of Economic growth already given in earlier part):

⇒ (Origin) 2020-March: Government of India initiated nationwide lockdown to prevent the spread of Corona/COVID-19 pandemic. (कोरोना महामारी के चलते देशव्यापी तालाबंदी)

⇒ This lockdown affected the income and livelihood of everyone from corporate companies to common citizens of India. (सबकी आजीविका को हानी हुई)

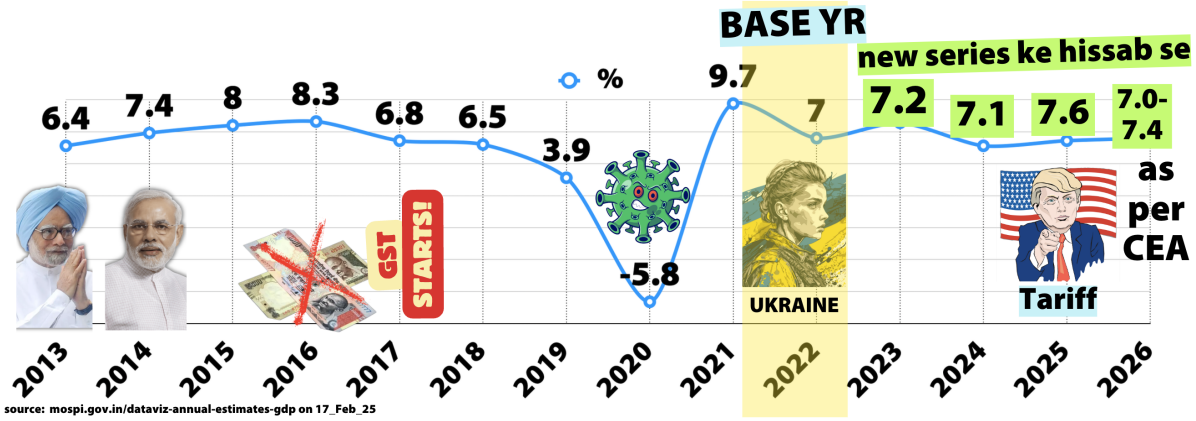
⇒ Therefore, to revive the economy, Prime Minister of India launched Atma Nirbhar Bharat stimulus package in 2020-May. (अर्थव्यवस्था को पुनजीवन / प्रोस्ताहन का आर्थिक पेकेज)

⇒ Part of Atma Nirbhar, RBI initiated following for boosting GDP / economic growth



Note: After 2025-Dec, RBI has kept repo un-changed @5.25, as of 27_Aug_26 at 1058AM.

12.4.1 What did RBI do to boost GDP after Corona?



During the Corona lockdown, the demand / shopping had come to a standstill. So to revive the demand, RBI had to increase the money supply and decrease the loan interest rates. So, RBI initiated following measures in 2020-21

⇒ Reduced Cash Reserve Ratio (CRR) from 4% to 3%

⇒ Reduced repo rate from over 5% to 4%.

⇒ Opened the new loan windows for clients namely Long Term Repo Operations (LTRO), Targeted Long Term Repo Operations (TLTRO), On-Tap Liquidity Windows for healthcare, Contact-Intensive Sectors such as Hotels, Restaurants, Tour Operators, Bus Operator, Car Repair Service, Beauty Parlours/Spa/Saloons, Event/Conference Organisers (स्पर्श-संवेदनशील उद्योग क्षेत्र).

⇒ Loaned large amount of money to All India Financial Institutions (AIFI) i.e., NABARD, NHB, SIDBI, etc

⇒ Made certain changes in the reverse repo rate so as to discourage the bankers from parking excess funds in RBI.

⇒ Started (Secondary Market) G-sec acquisition programme (GSAP) program to provide liquidity to the G-Sec investors. (HOW? Refer prelims lecture)

⇒ Changed loan to value ratio from 75% to 90% to help gold loan borrowers.

⇒ 2020: made certain changes in the priority sector lending so as to ensure that the districts with poor credit penetration get more attention of the banker. (HOW? Refer prelims lecture)

⇒ Loan/ EMI/ NPA relief / Moratorium.

⇒ RBI Committee under KV Kamath submitted report on how to restructure loans impacted by the Covid 19 pandemic.

⇒ RBI reformed Ways and Means advances (WMA) and Consolidated Sinking Fund (CSF) to help union and state government borrowing programme.

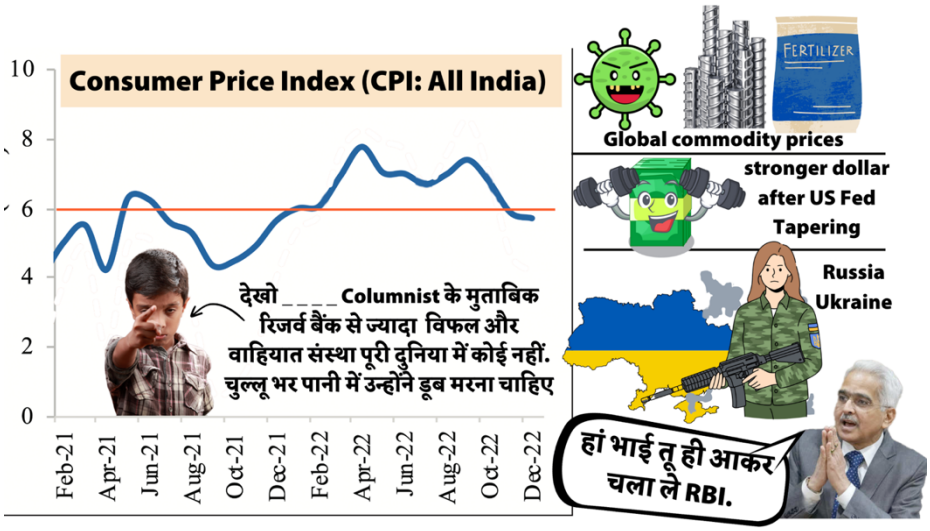
⇒ RBI made technical reforms to attract more foreign capital flow in India. (REF Pillar3 for more)

Looking at above data, RBI has done satisfactory work in boosting the GDP growth and ensuring a V-shaped recovery after Corona. (डाटा से प्रतीत होता है साबित होता है कि अर्थतंत्र को पुनर्जीवित करने के लिए रिजर्व बैंक में संतोषजनक किया है)

Note: because of the handout pagelimit word limit, we are not venturing into what steps were taken by government ? What was the impact on individual sectors? what external factors harmed the GDP

growth etc refer to the third and fourth pillar for information about it, if you have to write a long essay around all that.

12.5 Real MonPol: Inflation Control Post corona – Hit / Flop?



⇒ After the RBI Act amendment in 2016, the RBI is legally required to control the inflation within 2-6% CPI (All India). If RBI fails to inflation control in this range for three consecutive quarters, i.e. nine straight months - then legally it is termed as failure under the RBI Act. (यदि लगातार 9 महीने तक रिजर्व बैंक महंगाई को 2 से 6% में काबू न रख पाए तो कानूनन रूप से उसे रिजर्व बैंक की विफलता मानी जाती है)

⇒ From 2022 January to Sept, inflation stayed above 6%. So, RBI has failed its legal mandate. However, the blame does not lie entirely with RBI because (संपूर्ण दोषारोपण रिजर्व बैंक पर ठीक नहीं होगा)

⇒ Corona lockdown = supply chain disruption = inflation was rising, in such situation, making a loan is expensive, will not fix the problem but rather aggravate the problem of economic slowdown. (आपूर्ति श्रृंखला प्रबंधन में समस्या के चलते खाद्य महंगाई बढ़ी थी- तो रिपो दरों में बढ़ोतरी द्वारा उस महंगाई का समाधान असंभव. उल्टा महँगे लोन उस वक्त मंदी चालू करवा देते।)

⇒ Because, To combat inflation, if RBI suddenly hikes loan interest rates, it could result **in hard-landing** of the GDP growth. (महंगाई नियंत्रण के लिए अचानक बहुत तेजी से लोन महंगे कर दिए तो आर्थिक वृद्धि दर धड़ाम से जमीन पर गिर सकता है)

⇒ Even developed countries such as USA, UK, Germany struggling to keep the inflation under control. India's inflation is lower than these nations. (अन्य देशों के मुकाबले हमारी महंगाई फिर भी कम हीं है)

Furthermore, Since 2022,

⇒ (i) the Russia Ukraine war has hardened the commodity, fertiliser, oil prices in the global market. (रूस यूक्रेन युद्ध के चलते विश्व बाजार में कच्चे माल की कीमतें बढ़ी)

⇒ (ii) USA Fed Tapering, FPI exit, Iran War (2026) has weakened Indian rupee from ₹70 (2020) to ₹95 (2026-June) i.e . 26% change. (यूएस फेड टेपरिंग के चलते रुपया काफी कमजोर हुआ)

Both (i) + (ii) resulted in problem of '**imported inflation**'. (आयातित महंगाई की समस्या)

12.5.1 ✍ Conclusion: RBI Post Corona Hit/Flop? don't judge harshly.

In the last 2-3 years, the problem of GDP growth and inflation control has been confounded by external factors such as corona, global disruption in the supply chain, the Russia-Ukraine war, and the hardening of commodity prices, as well as the USA Fed Tapering and weakened Indian rupee.

⇒ Despite all these challenges

⇒ Reserve Bank of India has managed to keep the Indian economy immune from the types of economic problems witnessed in Sri Lanka, Pakistan, the UK, China, or the USA after Corona.

⇒ Even though it failed to meet the legal mandate of keeping inflation under control during 2022 - but inflation in India is still under control compare to other major economies.

⇒ Furthermore, RBI has helped to maintain healthy GDP growth and assisted in V-shaped recovery.

⇒ So, its performance needs to be appreciated, and its failures should not be judged too harshly.

(रिजर्व बैंक के काबू बाहर के कारकों के चलते कठिनाइयां आई है फिर भी जीडीपी वृद्धि दर बेहतर करने में उसने अच्छी भूमिका निभाई है. हालांकि यह बात सही है महंगाई दर कानूनन सीमाओं से बाहर रहा है, किंतु फिर भी अन्य देशों के मुकाबले हम बेहतर स्थिति में थे. इसलिए रिजर्व बैंक की के प्रदर्शन की प्रशंसा होनी चाहिए और विफलताओं की बहुत कड़ी निंदा न्यायोचित नहीं होगी.)

12.6 ✍🏻🎺🌻1🖐 Mock Questions for UPSC Mains

1) Enumerate the steps taken by the RBI in the aftermath of Corona crisis to revive Indian economy and control inflation. How far has RBI been able to achieve these twin objectives? Evaluate. (कोरोना संकट के बाद भारतीय अर्थव्यवस्था को पुनर्जीवित करने और मुद्रास्फीति को नियंत्रित करने के लिए आरबीआई द्वारा उठाए गए कदमों की सूची दीजिए। इन दोहरे उद्देश्यों में आरबीआई कितनी सफलता हासिल कर पाई है? मूल्यांकन करे।)
2) "Monetary policy is a useful medicine, but NOT panacea for economic growth". Comment in context of India. ("आर्थिक विकास के लिए, मौद्रिक नीति एक उपयोगी दवा है, लेकिन रामबाण नहीं".)
3) Discuss the significance of Monetary policy in India's economic growth and human development. (भारत की आर्थिक वृद्धि और मानव विकास में मौद्रिक नीति के महत्व पर चर्चा करें.)
4) (PYQ-Economics-Optional-2024) What are the main objectives of monetary policy adopted by the R.B.I. during last 5 years? Discuss the steps taken by the R.B.I. to encourage investment and maintain price-stability during this period. (पिछले 5 वर्षों के दौरान भारतीय रिजर्व बैंक द्वारा अपनाई गई मौद्रिक नीति के मुख्य उद्देश्य क्या हैं? इस अवधि के दौरान निवेश को प्रोत्साहित करने और मूल्य-स्थिरता बनाए रखने के लिए भारतीय रिजर्व बैंक द्वारा उठाए गए कदमों पर चर्चा करें। Hint: priority1- 2-6% CPI & once inflation is in this range, then priority2= focus on GDP growth by making loans cheap. Refer to various tools/initiatives in the prelims HDT such as Op-Twist, Atma-Nirbhar, G-SAP etc.)

📄NEXT HDT: Pillar1B- Bad Loans, Banks and NBFCs Burning issues